Chapter Eight

MSMEs: Small Is Not Beautiful

The MSME Universe

The Micro, Small and Medium Enterprises Development Act, 2006 (MSME Act), was amended on 26 June 2020. Before the amendment, manufacturing enterprises with less than Rs 10 crore investment and service enterprises with less than Rs 5 crore investment in plant and machinery were collectively referred to as MSMEs. Where capital investment did not exceed Rs 25 lakh and Rs 10 lakh, respectively, in manufacturing and services, enterprises were categorized as micro-enterprises. Manufacturing and services enterprises with capital investment higher than micro-enterprises but less than Rs 5 crore and Rs 2 crore, respectively were categorized as small enterprises.

The largest category of enterprises in the MSME space, called medium enterprises, had an investment limit of Rs 10 crore and Rs 5 crore, respectively for manufacturing and services enterprises. These limits were fixed in 2006 and had remained unaltered for fourteen years.

The 2020 amendment in the MSME Act introduced two major changes in the classification system. First, the investment limits for manufacturing and service enterprises were combined into one limit and, second, an additional turnover criterion was added. The investment limit for micro-enterprises was raised to Rs 1 crore and a turnover ceiling of Rs 5 crore was prescribed. For enterprises to be considered small, it was necessary not to have investment in excess of Rs 10 crore and turnover in excess of Rs 50 crore. For medium enterprises, investment and turnover limits were fixed at Rs 50 crore and Rs 250 crore, respectively.